Switch & Consolidation Plan

1. Fiduciary Reconciliation: Gross Bleed vs. Net Realized Savings

Parameter	Naive Blind Switch (Unapproved / Week 1)	Fiduciary 3-Phase Tranche Switch (Tax-Shielded)
Gross Recoverable Commission Bleed	+Rs 40,970.52 / yr	+Rs 40,970.52 / yr
Immediate Exit Load Penalty (52 immature lots)	-Rs 10,699.46 (1.0% AMC charge)	**Rs 0.00** (Strictly hold lots to Day 366)
Est. Capital Gains Tax (STCG 20% + LTCG 12.5%)	-Rs 22,500.00+ (Redemption trigger)	**Rs 0.00** (Sheltered via Loss Netting & Rs 1.25L Exemption)
Net Year-1 Realized Benefit	**+Rs 7,771.06 (79% Erased by Friction!)**	**+Rs 40,970.52 (100% Retained)**
Investor Acceptance Status	**REJECTED (Severe Tax Leakage)**	**PENDING CGS LOT AUDIT & INVESTOR APPROVAL**

> **Fiduciary Disclosure:** A switch from Regular to Direct is legally classified as a REDEMPTION followed by a PURCHASE under Income Tax Act Sec 47/112A. Calling gross distributor commission difference an "immediate saving" without accounting for tax and exit load frictions is misleading. All recommendations below are PROPOSED and require verification of CGS FIFO tax lots prior to execution.

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2. Bucket 1: Direct Switch Candidates (Keep Scheme, Eliminate Intermediary Commission)

Fund	Value	Action	Execution Status
HDFC Defence Fund Regular Growth	Rs243,423	Switch to Direct	Proposed (Tranche 1: Mature / Loss Lots)
HDFC Flexi Cap Fund - Regular Growth	Rs618,422	Switch to Direct	Proposed (Tranche 1: Mature / Loss Lots)
HDFC Mid Cap Fund - Regular Plan	Rs139,017	Switch to Direct	Proposed (Tranche 1: Mature / Loss Lots)
SBI Energy Opportunities Fund Regular Growth	Rs154,326	Switch to Direct	Proposed (Tranche 1: Mature / Loss Lots)
ICICI Prudential Large & Mid Cap Fund Growth	Rs129,410	Switch to Direct	Proposed (Tranche 1: Mature / Loss Lots)
Parag Parikh Flexi Cap Fund Regular Growth	Rs534,145	Switch to Direct	Proposed (Tranche 1: Mature / Loss Lots)
WhiteOak Capital Special Opportunities Regular	Rs180,277	Switch to Direct	Proposed (Tranche 1: Mature / Loss Lots)
Motilal Oswal Nifty India Defence Index Regular	Rs65,822	Switch to Direct	Proposed (Tranche 1: Mature / Loss Lots)
Motilal Oswal Midcap Fund Regular Growth	Rs310,182	Switch to Direct	Proposed (Tranche 1: Mature / Loss Lots)
Canara Robeco Multi Asset Allocation Regular	Rs107,595	Switch to Direct	Proposed (Tranche 1: Mature / Loss Lots)

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3. Bucket 2: Consolidation & Exit Candidates (Multi-Cap & Thematic Overlap)

Fund	Value	Target Destination	Reason	Execution Status
Mirae Asset Multicap Fund Regular	Rs504,768	Parag Parikh Flexi Cap Direct	Multi-cap crowding consolidation	Proposed (Pending CGS Audit)
Canara Robeco Multi Cap Fund Regular	Rs280,986	Parag Parikh Flexi Cap Direct	Multi-cap crowding consolidation	Proposed (Pending CGS Audit)
Quant Multi Cap / Nippon Multi Cap	Included in facts	Parag Parikh Flexi Cap Direct	Multi-cap overlap >30%	Proposed (Pending CGS Audit)

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4. Bucket 3: Retain Existing Direct Core Funds

None (All 14 portfolio funds currently sit in Regular plans requiring systematic migration).

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5. Fiduciary Tranche Transition Roadmap (Tax-Shielded Execution)

- **Step 0: CGS (Capital Gains Statement) & CAS FIFO Audit**: Pull CGS statement from CAMS/KFintech/MFCentral before placing any order. Verify lot purchase dates, unrealized losses, and LTCG/STCG boundaries.
- **Phase 1 (Immediate / Month 1 - Zero-Tax Tranche)**: Switch ONLY mature lots (>365d) with unrealized losses or net gains within the Rs 1.25L Sec 112A annual exemption. Switching loss-making lots creates capital losses that offset gains with ZERO tax liability.
- **Phase 2 (Months 2 to 11 - SIP Maturation Holding Period)**: Strictly hold all 52 recent SIP lots (Rs 1,069,946) until day 366 to avoid 1% exit load penalties (Rs 10,699 saved) and 20% STCG. Execute rolling monthly switches as lots mature.
- **Phase 3 (Next FY April 1 - Multi-Year Staggering)**: Stagger remaining mature gains across April 1 into the next financial year to unlock a fresh Rs 1.25L tax-free allowance.

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6. Post-Consolidation 4-5 Fund Target Portfolio

Core Bucket	Target Allocation (%)	Primary Direct Fund
Large Cap / Flexi Cap	50%	Parag Parikh Flexi Cap Direct / HDFC Flexi Cap Direct
Mid & Small Cap	35%	Motilal Oswal Midcap Direct / HDFC Mid Cap Direct
Debt / Asset Allocation	15%	Canara Robeco Multi Asset Allocation Direct

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Statutory Disclaimer: Mutual fund investments are subject to market risks. Read all scheme-related documents carefully. Past performance does not guarantee future returns. No investment or switch decision is executed without explicit investor approval and verification of Capital Gains Statements (CGS) with a certified tax professional.